



What the SEC Asked

The questions the regulator forces — and what they reveal

From the comment letters of 19 semiconductor companies · a Semipply Research Reader

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Every public semiconductor company has a reader it never sees: the SEC. Before a filing clears, the regulator writes back — comment letters demanding the company explain, quantify, or disclose what it would rather leave in a footnote. The company answers in writing, and all of it goes on the public record.

That correspondence is the closest thing to free diligence the market ever gets — and almost nobody opens it. Across **nineteen semiconductor companies** in our corpus and **539 separate challenges**, the same five questions keep coming. They are, nearly one for one, the dependencies we read from the contracts. The difference is that the SEC can make the company answer.

How far does China reach?

The question the SEC asks most is not on the balance sheet. It is the map of who can reach the company.

It made **indie Semiconductor** account for a 50%-owned Chinese subsidiary, for the revenue sourced through China, for an ownership chart redrawn to show the entities domiciled there — and for whether its accounting workpapers would sit in the PRC, beyond the reach of US inspection. It pressed **ACM Research** on how China's Cyberspace Administration oversees its business. It made **Credo** list every permission it needs from Chinese authorities merely to sell shares to foreign investors.

Strip the politics and it is a control question: *who ultimately holds this company, and can a foreign state reach it?* That is exactly what the ownership of a contract asks — and the SEC asks it first.

Who really controls it?

An "independent" company usually has a parent, and the SEC makes it say so.

It forced **Mobileye** to name Intel as the affiliate holding the note repaid with IPO proceeds, to chart the post-IPO ownership, and to identify the directors who would also answer to Intel. It made **GlobalFoundries** admit its "controlled company" status under an Abu Dhabi owner, and **Allegro** name Sanken as the affiliate in control. The corporate-opportunity waiver — a company's pre-consent to its owner's conflicts — drew a required risk factor every time.

The parent behind the logo, dragged onto the cover page.

Who is the revenue, really?

Customer concentration stays hidden until the SEC refuses to let it.

It told **ARM** to name its largest customers — Qualcomm among them — and to quantify what each was worth, rather than leave it vague. It made **Mobileye** disclose that its top three customers were 35%, 19%, and 17% of revenue, with no long-term agreements — a concentration Mobileye had first argued was immaterial.

A customer that can walk tomorrow, made visible today.

Is the revenue even real?

When a company leans on an adjusted number, the SEC asks to see the unadjusted one.

It made **Credo** strip warrant contra-revenue out of its non-GAAP measures. It questioned **SkyWater's** bill-and-hold timing and an inventory adjustment it viewed as an ordinary cost. It made **GlobalFoundries** quantify the real reasons behind large period-to-period swings instead of describing them in generalities.

Where does the money actually go?

Related-party flows are where a parent's grip shows.

The SEC surfaced Mobileye's roughly \$900 million payable to Intel, Allegro's \$9.5 million from Sanken used to soften the cash impact of an IRS settlement, and the Japanese loan and CEO guarantee behind SiTime that its exhibits had blurred. When a parent funds you into an IPO or covers your tax bill, the line between the two is thin — and the SEC makes you draw it.

The point

Read the letters back to back and the SEC is doing our job with a subpoena. A foreign owner your screens cannot see; a parent that sets the terms; a customer that could leave; a number that needs an asterisk — the regulator already asked, the company already answered, and it is all on EDGAR, unread.

So before you invest in, lend to, acquire, or sign with a semiconductor company, read what the SEC already made it admit — and ask what it would ask about a filing like this one. It is a sharper diligence list than a blank page, and it is already written.

A Semipply Research reading, based on public SEC comment-letter correspondence for nineteen semiconductor companies (EDGAR). The regulator's challenges are summarized from that correspondence; specific figures and quoted terms are from the filings and letters. This describes disclosure the SEC required — it is not a view on any company, and it is not legal or investment advice.